EXECUTIVE SUMMARY

1. Introduction

The LGU was founded in 1580s by Juan de Salcedo. He found in Camalaniugan, a flourishing community of farmers and fishermen led by Guiab. At that time, Camalaniugan encompassed a large area that included what we know now as the towns of Buguey, Sta. Teresita, Gonzaga and Sta. Ana. Camalaniugan was one of the first towns in Cagayan to be so organized. At present it is composed of twenty eight (28) barangays and ranked 4th class municipality.

With its existing development trends, strategic locations and resources, the municipality is envisioned to be the center of Agro-Commercial progress in the province and regions as well, where dignified Camalaniugeños feel the enjoyment of improved quality life in a balanced environment thru the principle of good governance.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

a. The Seal of Good House Keeping Bronze Category
b. One of the Best LGU Anti Red Tape Act Implementer
c. The Seal of Good House Keeping Silver Category
d. The Seal of Good Financial House Keeping; and
e. The Seal of Good Local Governance

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Camalaniugan for the period ended December 31, 2016. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them

2. Highlights of Financial Information

The Municipality's assets, liabilities and Equity as of December 31, 2016 were P92,287,202.34, P55,681,296.66 and P36,605,905.68, an increased by 33%, 44% and 20% respectively, compared of last year's assets, liabilities and equity.

The Municipality's income for CY 2016 amounted to P81,620,411.22, an increased by 10% compared to last year's income of P74,412,163.92.

The municipality's total assets, liabilities, equity, and income and expenses for CY 2016 compared with that of CY 2015 are as follows:

			Increase(Decrease)	
	2016	2015	Amount	Percentage
Financial Position				
Assets	92,287,202.34	69,166,268.07	23,120,934.27	33%
Liabilities	55,681,296.66	38,712,214.79	16,969,081.87	44%
Govt. Equity	36,605,905.68	30,454,053.28	6,151,852.40	20%
Financial Performance				
Income	81,620,411.22	74,412,163.92	7,208,247.30	10%
Expense	77,836,294.84	64,844,386.48	12,991,908.36	20%
Appropriations, Allotments and Obligation				
Appropriations	118,703,832.01	100,623,989.75	18,079,842.26	18%
Obligations	94,631,711.43	78,254,937.84	16,376,773.59	21%

Summary of Funds Transferred to Other Agencies

	2016	2015	Increase(Decrease)	
			Amount	Percentage
Subsidy from General Fund Proper/Other Special Accounts	681,806.64	-	681,806.64	100%
Subsidy to National Government Agencies	-	156,000.00	(156,000.00)	(100%)
Subsidy to Other Funds	-	5,615,964.06	(5,615,964.06)	(100%)

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements due to the non-reversion of the unexpended balance of the Priority Development Assistance Fund (PDAF) to the unappropriated surplus of the general fund thru the Bureau of the Treasury, non reconciliation of the GSO and the Municipal Accountant of the balance of Land, Building, School Buildings and Work/Zoo Animals accounts, and the non-submission of financial transactions and accounts within the prescribed period, thus, affecting the fair presentation of the accounts in the financial statements.

4. Significant Findings and Recommendations

a. The accounts of the municipality were not submitted to the Auditor within the period prescribed by COA Circular No. 2009 – 006, hence the review and verification thereof could not be promptly made resulting to delayed communication of results of post audit.

We recommended that the Accounting Office submit to the Auditor all financial transactions and accounts within the prescribed period and for the Treasury Office to transmit to the Accounting Office within the most reasonable time all documents and reports to ensure the submission of the accounts in set datelines.

b. Utmost secrecy was not fully observed by the Municipal Bids and Awards Committee (MBAC) in its procurement activities contrary to Section 19 of Republic Act (R.A) No. 9184 resulting to undue maneuver of bid proposal by any lone bidder to his/her advantage.

We recommended that all concerned LGU and/or MBAC officials/personnel keep under utmost secrecy the number and identities of prospective bidders and other vital information to avoid undue maneuver of bid proposal/s to the disadvantage of the government.

c. Land, Buildings, School Buildings and Work/Zoo Animals accounts totaling P3,021,760.36, P4,193,824.31, P1,177,651.82 and P422,000.00, respectively, could not be validated and reconciled with Accounting records due to the failure of concerned officials to submit the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) contrary to Sections 120 and124 of the New Government Accounting System (NGAS) Manual thus rendering doubtful the accuracy, validity and reliability of the accounting records and related reports.

We reiterated our previous years' audit recommendations for the concerned LGU officials/personnel to conduct the physical count of property, plant and equipment (PPE) and to submit the corresponding RPCPPE using the prescribed format and reconcile the balances with that of the books of accounts.

d. The unexpended balance of the Priority Development Assistance Fund (PDAF) of the municipality as of December 31, 2014 totaling P189,401.33 and recorded as "Due to LGUs" in the financial statements were not yet reverted to the unappropriated surplus of the general fund thru the Bureau of the Treasury contrary to Section 99 of Presidential Decree (P.D.) No. 1445, thus exposing said funds to possible misuse.

We recommended that management strictly comply with the provisions of Section 99 of P.D. No. 1445 on the reversion of the unexpended balance to the unappropriated surplus of the general fund thru the account of the Bureau of the Treasury.

e. Representation Expense account as presented in the financial statements as of December 31, 2016 under the General Fund and SEF Fund amounting to P799,833.01 and P27,284.75 respectively, was erroneously recorded as Food Expenses contrary to COA Circular No. 2004-008 dated September 20, 2004, as amended, to the Revised Chart of Accounts for Local Government Units under COA Circular No. 2015-009 dated December 1, 2015, thus, affecting the fair presentation of the Financial Statements.

We recommended that concerned officials follow strictly the above cited provision and provide in the Annual Budget an allocation for "Representation Expenses" to accommodate expenses incurred by the municipality for meeting, conference and entertainment.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
Disallowances					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
	-	-	-	-	
Charges	-	-	-	-	
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations of last year's report, five (5) were fully implemented, and two (2) were not implemented as of year-end, hence, reiterated in Part II of the report.